

10 equity lessons learned from 2025

As 2025 is coming to an end, we take this opportunity to reflect on the past year, highlighting 10 key lessons we've learned from the stock market that could be relevant for investors to position in Chinese equities in 2026.

1. Two consecutive years of positive returns: **a slow(er) bull market is probably in the making**
2. **Better trade outcomes have outweighed (fiscal) policy miss**
3. **AI has changed the game** for Chinese tech equities
4. **China's Journey to the World:** Steady as it goes despite trade headwinds
5. **Chinese are still spending**, but in different pockets of the economy than before
6. All eyes are on inflation: **Anti-involution has reignited hopes for reflation**
7. **The 15th 5-Year Plan** may have re-defined investors' 5-year plan for Chinese equities
8. **China is investable:** Domestic capital is on the move while foreign investors are warming up to China stocks
9. **China's diversification value is on full display**, to both international and domestic investors
10. Many risks still linger, but **policy put has flattened the left-tail**

Kinger Lau, CFA

+852-2978-1224 | kinger.lau@gs.com
Goldman Sachs (Asia) L.L.C.

Timothy Moe, CFA

+65-6889-1199 | timothy.moe@gs.com
Goldman Sachs (Singapore) Pte

Si Fu, Ph.D.

+852-2978-0200 | si.fu@gs.com
Goldman Sachs (Asia) L.L.C.

Kevin Wang, CFA

+852-2978-2446 | kevin.wang@gs.com
Goldman Sachs (Asia) L.L.C.

1. Two consecutive years of positive returns: a slow(er) bull market is probably in the making

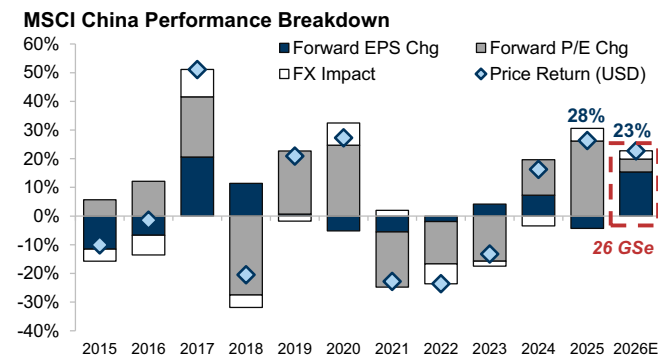
China A and H shares have returned 16% and 29% in 2025, respectively, exceeding our original forecasts of 13% and 15% published in our 2025 Outlook, and extending the rebound from their respective cycle troughs in late 2022 to 30% and 75%.

The ytd gains have been led by multiple re-rating where index 12m fP/E rose from 9.9x at the start of 2025 to 12.5x as of now, while fEPS was down by 4% for the year.

Sectorally, **Materials, Health Care, and Comm. Services performed the best** while Staples, Utilities, and Real Estate lagged. Stylistically, GARP and Growth gained the most, contrasting the underperformance by Value and Dividend. These divides underscore the **abundance of sector and thematic alpha** beneath the headline index.

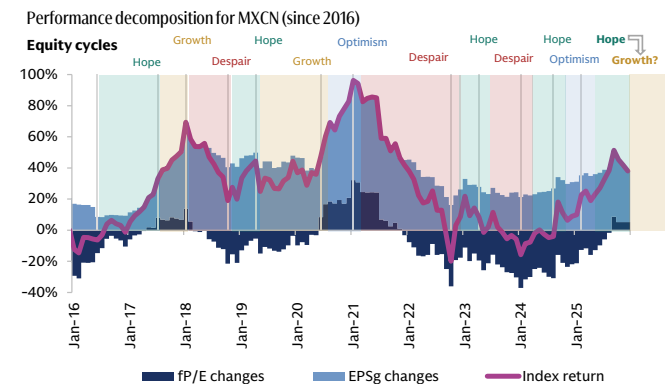
We expect the bull run to continue, but at a slower pace. We forecast Chinese stocks to rise 38% by end-27, led by 14% and 12% profit growth in 2026E and 2027E and ~10% re-rating potential. This is reminiscent of an equity cycle transition from Hope to Growth where both earnings realization and moderate PE expansion in the latter typically supersede strong but volatile re-rating gains in the former to drive returns.

Exhibit 1: The gains in 2025 were led mainly by multiple recovery



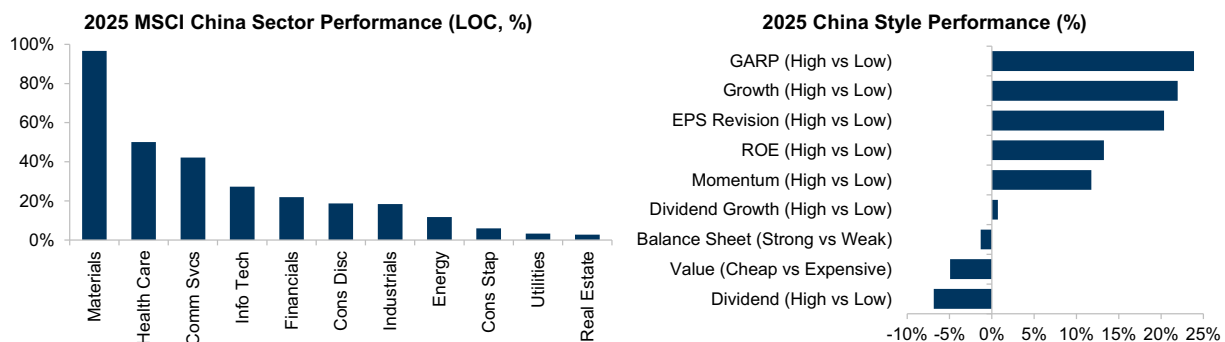
Source: FactSet, MSCI, Goldman Sachs Global Investment Research

Exhibit 2: Chinese equities could be transitioning into a Growth phase



Source: MSCI, FactSet, IBES, Goldman Sachs Global Investment

Exhibit 3: Significant return disparities along key sector and stylistic vectors in 2025



Source: FactSet, MSCI, Goldman Sachs Global Investment Research

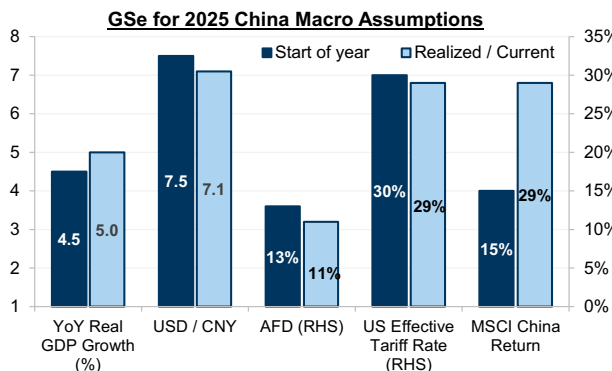
2. Better trade outcomes have outweighed (fiscal) policy miss

A challenging external environment for China characterized by higher US tariffs, slower GDP growth, a weaker Rmb, but aggressive fiscal stimulus, was GS's macro base case (and a popular investor narrative) that went into our forecasts to start 2025.

While the US effective tariff rate has indeed risen from 11% to 29% since President Trump took office, Chinese exports have grown 5.4% yoy and the Rmb has strengthened 4% vs. USD ytd. Our economists have also **raised their 2025 GDP growth forecast to 5%**, up from 4.5% previously. This may have reduced **the urgency for the authorities to stimulate domestic demand**, with the 2025 augmented fiscal deficit (AFD, Rmb15.5tn, 11% of GDP) falling short of our economists' prior forecast (Rmb18tn, 13% of GDP).

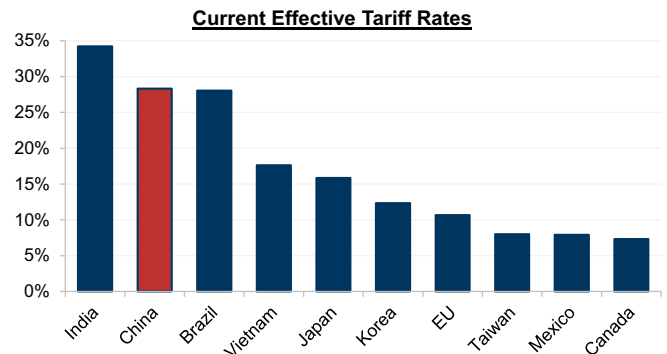
On prevailing US tariff rate and AFD, we estimate that the fair value of MSCI China in a 2-factor regime should be at around 74, 11% below the current levels, implying that the **better-than-feared growth backdrop has perhaps outweighed the lukewarm policy response** in equity pricing, as also reflected by the outperformance of listed exporters over consumption equities. The seesaw between tariff and policy will likely remain a dominant macro theme going into 2026.

Exhibit 4: The external backdrop has turned out to be more conducive than most expected



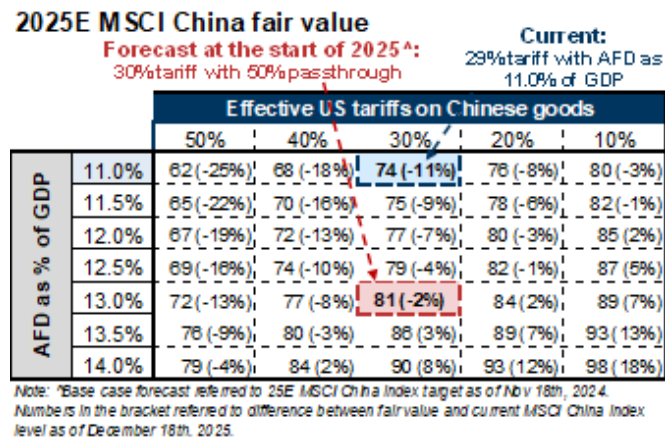
Source: Goldman Sachs Global Investment Research

Exhibit 5: China is not alone—the US has imposed tariffs on many of its trading partners



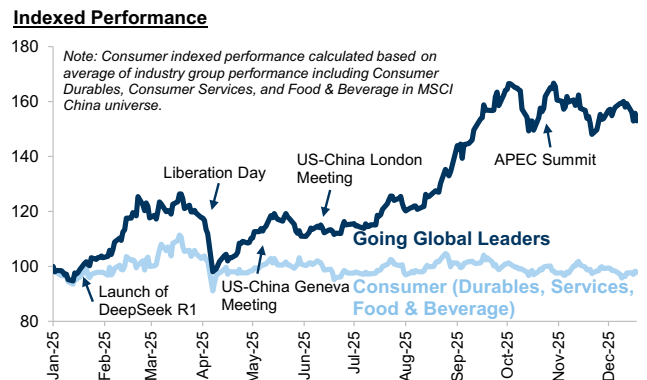
Source: Data compiled by Goldman Sachs Global Investment Research

Exhibit 6: Better trade outcomes have outweighed the policy miss in equity pricing in US-China trade war 2.0



Source: Goldman Sachs Global Investment Research

Exhibit 7: Exporters have outperformed most consumer stocks in the equity universe



Source: MSCI, FactSet, Goldman Sachs Global Investment Research

3. AI has changed the game for tech equities

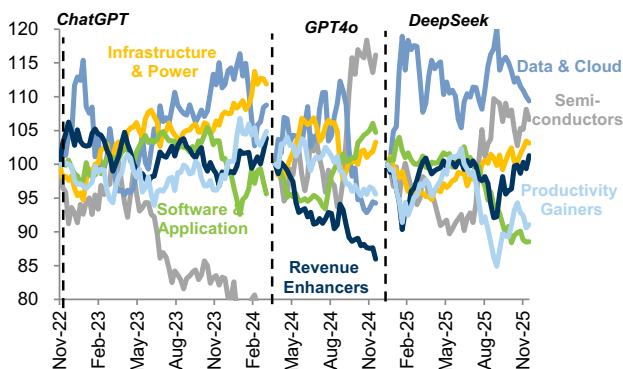
The launch of **DeepSeek-R1** has sparked a powerful rally for Chinese tech companies in 2025, led by Data & Cloud, Semis, and (AI) Infra & Power, where stock prices have risen 40% on average and more than US\$2tn of market cap has been added.

The breakthroughs in AI have rewritten the narrative for tech equities. Fundamentally, we estimate that **widespread AI adoption could drive a 3% annual increase** in corporate earnings over the next decade via cost savings, enhanced productivity, and new revenue opportunities. Valuations have re-rated in the Chinese AI tech ecosystem, but they look inexpensive vis-a-vis the US, considering **China's potential upside in capex spend** and its focus on **AI monetization** via use-case creation.

The tech race between the US and China will likely create **structural winners along the value chain**, particularly in parts of the ecosystem where China's cost advantages are high (e.g. power, human capital, LLMs, hardware supply chain) and government support is strong due to national security considerations (e.g. semi design and manufacturing).

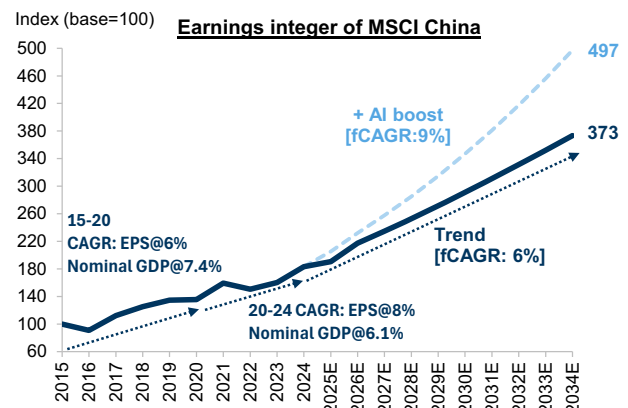
Exhibit 8: The DeepSeek moment has sparked a concentrated rally in Data & Cloud and Semi

Relative Indexed Performance (US\$)



Source: FactSet, Goldman Sachs Global Investment Research

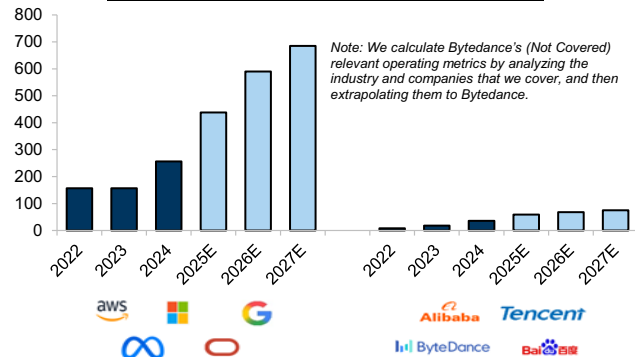
Exhibit 9: We estimate that widespread AI adoption could boost China corporates' earnings by 3% per annum over the next decade



Source: Wind, Bloomberg, Goldman Sachs Global Investment Research

Exhibit 10: GS analysts expect China AI capex to rise, but at much smaller scale than the US

Capex for major US & China cloud service providers

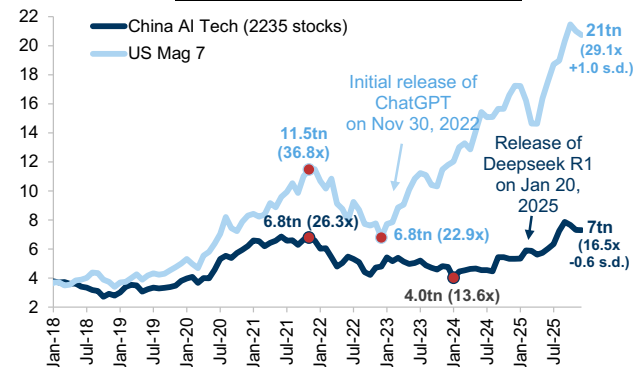


Note: We calculate ByteDance's (Not Covered) relevant operating metrics by analyzing the industry and companies that we cover, and then extrapolating them to ByteDance.

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 11: Significant valuation gaps between China and US AI proxies

Total market cap of AI-related stocks



Source: FactSet, Goldman Sachs Global Investment Research

4. China's Journey to the World: Steady as it goes despite trade headwinds

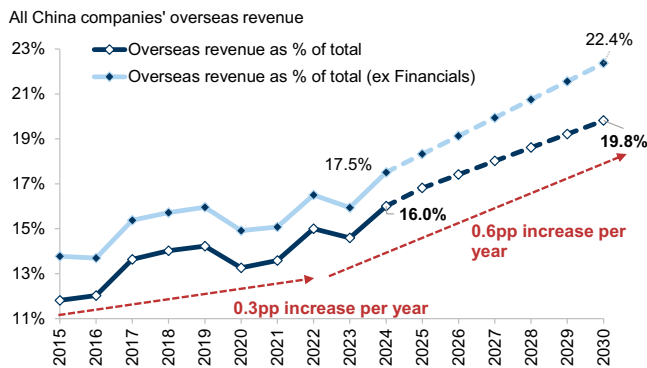
In our view, China's export resiliency this year is a strong testament that its **exports story has evolved**—shifting from a low-cost, low-value-added manufacturer for DM consumers to one where China is selling more to EM as the final destination, gaining global market share in the high-end manufacturing sectors, and now exporting services, intellectual property, and culture to the world.

Overseas revenues of Chinese listed companies have grown from 12% a decade ago to 16% at present, and could reach 20% by 2030 on our projection, vs. DM/EM average of 53%/48%. In turn, this could **boost earnings of MSCI China by about 1.5% annually** given higher overseas profitability.

While protectionist measures from China's trading partners are valid risks/concerns, they are unlikely to derail Chinese companies' Going Global trend, which is underpinned by a highly competitive Rmb (in real effective terms), China's pivotal role in global supply chains and dominance in critical minerals, and improving value proposition of Chinese products.

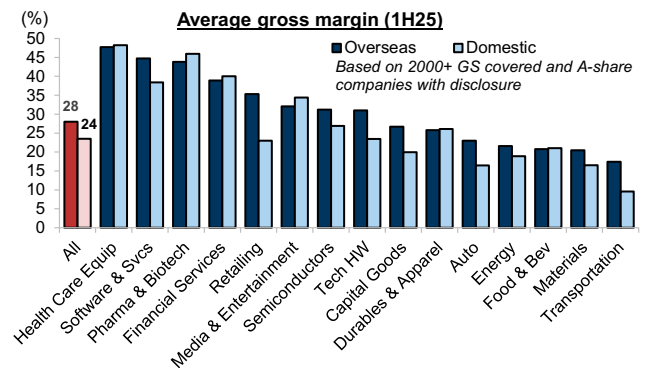
Our cross-sectional analysis shows that **industry leaders with strong innovation capabilities are well positioned** to compete globally, and could outperform their peers in both the export and financial markets. Our Chinese Going Global Leaders portfolio, containing 25 GS-Buy-rated companies that on average generate 34% of their revenues overseas, has gained 35% ytd, outpacing MSCI China by 9pp.

Exhibit 12: Overseas revenue of all Chinese listed companies has grown from 12% in 2015 to 16% at present and is expected to reach 20% by the end of 2030



Source: Wind, FactSet, Goldman Sachs Global Investment Research

Exhibit 13: Most sectors enjoy better profitability in the overseas markets



Source: Wind, FactSet, Goldman Sachs Global Investment Research

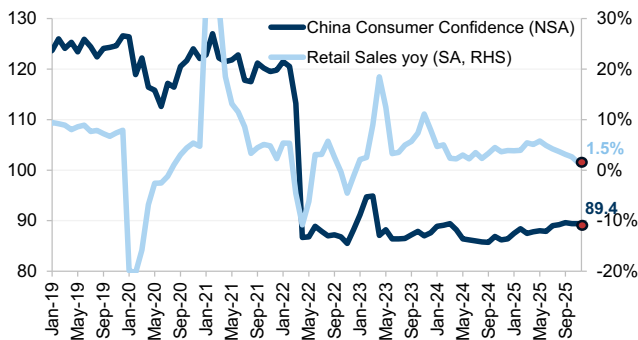
5. Chinese are still spending, but in different pockets of the economy than before

The ailing housing market, falling prices, restrained government spending, and subdued household income growth have continued to **weigh on domestic consumption**, with retail sales growing merely 4% yoy ytd and consumer confidence hovering at all-time lows. Consumption is widely regarded by investors as a weak link in the economy.

Consumption is, however, a broad concept, spanning both tradable and non-tradable goods, with the latter (**services**) generally **faring better in the post-Covid era** on wide output gaps (vs. pre-Covid levels) and less pronounced competition, overcapacity, and pricing pressures than goods consumption. It also encompasses many **niche and emerging consumer segments** that are not well captured by or apopulated in conventional consumption statistics and indicators -notably Entertainment, Specialty Retail (e.g. PopMart), Leisure, and Packaged Food (e.g. pet food).

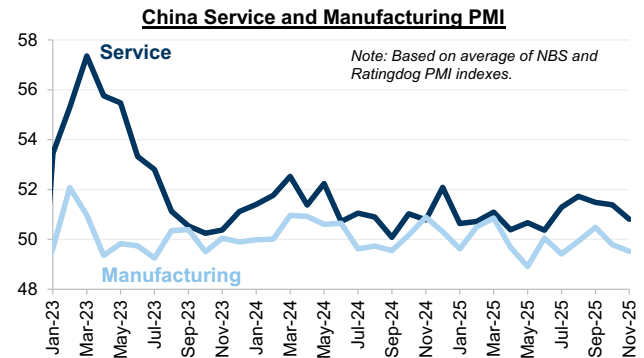
These **“New” consumption industries**, as defined by their growth momentum and interest from investors, on average grew their net profits by 28% in 1H25, vs. 5% for the aggregate consumer cohort (ex-Internet), and have returned 43% ytd, leading MSCI China and “Traditional” consumer stocks by 15pp and 39pp respectively.

Exhibit 14: Suppressed consumer confidence has weighed on consumption demand



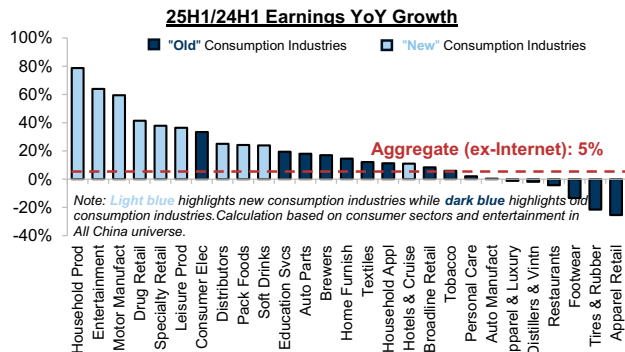
Source: NBS

Exhibit 15: Service industries have outgrown the manufacturing sector since the Covid outbreak



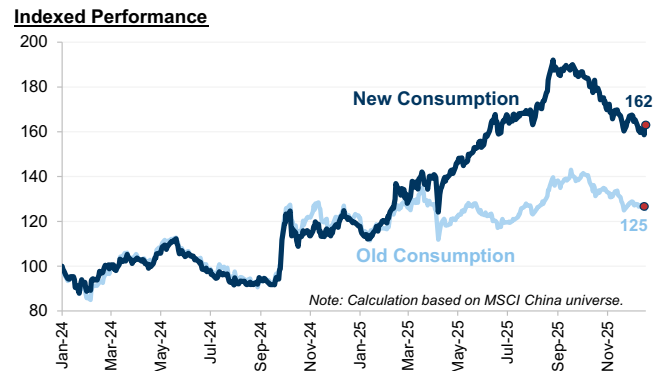
Source: Wind, NBS

Exhibit 16: Many “New” consumer sectors were able to deliver strong profit growth amid a soft consumer economy in 1H15



Source: FactSet, Goldman Sachs Global Investment Research

Exhibit 17: New Consumption proxies have outperformed traditional consumer names



Source: FactSet, MSCI, Goldman Sachs Global Investment Research

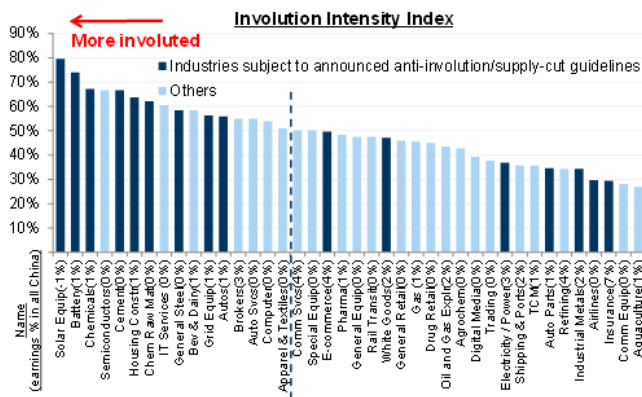
6. All eyes are on inflation: Anti-involution has reignited hopes for reflation

The nexus of overcapacity, intense competition, and disinflation **has inflicted pain on corporate earnings** in “involved” sectors such as Solar, Battery, Chemicals, and Cement. “Anti-involution” was first featured in the July 2024 Politburo meeting and has been elevated to the national level since the July 2025 CCFEA meeting.

Top-down, every 1% rise in PPI could drive 2% of profit growth. Sectorally, we estimate that potential supply reduction and industry consolidation could raise profits in involved industries by +50% by 2027 on normalized margins, and **boost index earnings by 5% by 2028**, in-line with sell-side consensus expectations.

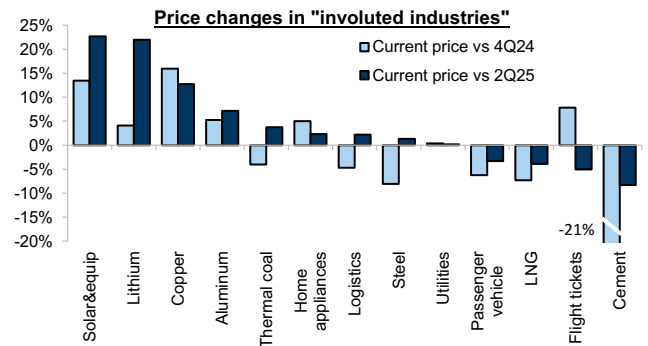
The buy-side community is more skeptical, citing renewed pricing pressures and **lack of policy follow-through**, although “deeply fighting involutionary competition” was emphasized in the latest CEWC readout. Overall, the policy upside in **Cement, Solar, and Chemicals** seems attractively priced per our sector framework, and our anti-involution beneficiaries have risen 12% since July 1, modestly ahead of MSCI China by 2pp.

Exhibit 18: Our measure suggests that Solar, Battery, and Chemicals are facing high “involution” pressures



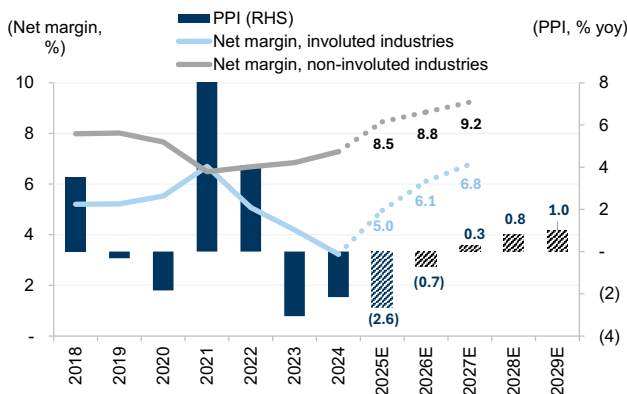
Source: Goldman Sachs Global Investment Research

Exhibit 19: Prices in several upstream sectors have moved higher since 1H25



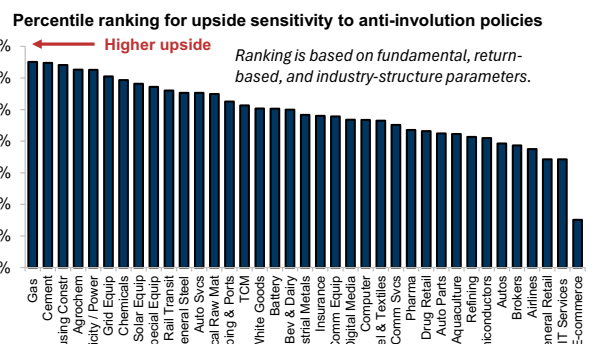
Source: Wind, NBS, Solarzoom, CementChina, Data compiled by Goldman Sachs Global Investment Research

Exhibit 20: Corporate margins may gradually improve as China exits a disinflationary environment



Source: FactSet, IBES, Goldman Sachs Global Investment Research

Exhibit 21: The anti-involution policy upside seems attractively priced in Gas, Cement, and Power



Source: FactSet, IBES, Wind, Goldman Sachs Global Investment Research

China's 5-Year Plan targets rarely missed. In the past 5 Five-Year Plans (FYP) since 2001, Chinese policymakers were able to accomplish nearly 90% of their proposed numerical growth and development targets. In the 15th FYP proposal published in late October, policymakers set technology, security, and people's livelihood as top priorities for China's development strategy over 2026-30.

Deciphering and following the FYPs can be rewarding. Our LLM-based textual model (FinBERT), which enables us to extract and convert policy signals from the FYP documents into long-short strategies, suggests that investors could have generated 13% annualized alpha if they had aligned their portfolios with broad policy trends in the past quarter century, vs. 6% CAGR by MSCI China.

Following this logic, we construct our 15th FYP equity universe based on 35 GICS3 Industries, from which we form our "15th FYP Portfolio" comprising 50 mid-cap stocks from 21 sub-sectors (30 A-shares, 20 offshore).

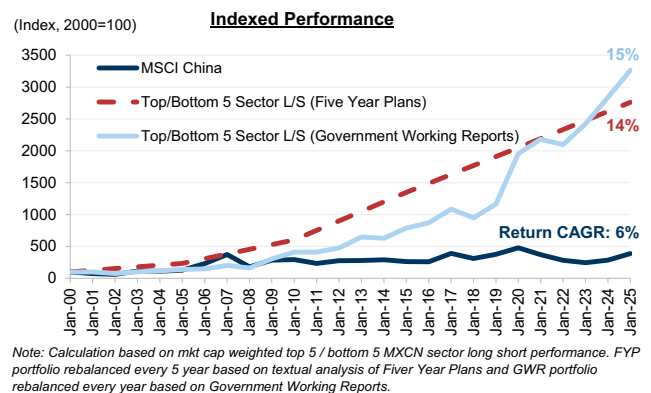
These stocks have collectively returned 68% in the past year (compared to 27% by MSCI), and are expected by consensus to achieve 30% EPS CAGR over the next two years. The portfolio has exhibited a historical 3-year beta of 0.7x (vs MSCI China), and is less volatile than well-followed mid/small cap indexes such as ChiNext and CSI1000.

Exhibit 22: Tech-related, and select cyclical and consumer industries appear well placed for policy support in the 15th FYP per our LLM-based textual analysis

GICS Level 2 Industry Group	10 FYP	11 FYP	12 FYP	13 FYP	14 FYP	15 FYP
Capital Goods	12	16	15	8	4	9
Commercial & Professional Svcs	8	15	3	6	8	17
Transportation	18	8	7	14	10	16
Autos	1	3	NM	2	9	12
Consumer Durables & Apparel	10	18	1	NM	5	14
Consumer Services	15	10	4	7	14	8
Retailing	6	NM	NM	NM	20	11
Staples Retail	2	NM	NM	NM	NM	NM
Food, Beverage & Tobacco	17	11	16	9	13	13
Household & Personal Products	NM	NM	NM	NM	NM	NM
HC Equip & Svcs	20	6	17	16	19	21
Pharma Biotech	19	19	5	17	12	10
Banks	23	13	13	11	15	18
Financial Services	16	14	14	13	18	20
Insurance	11	9	20	15	22	19
Software & Services	9	NM	6	3	6	4
Tech Hardware	14	2	10	1	1	3
Semis	13	NM	8	NM	2	1
Telecom Svcs.	22	1	12	NM	17	5
Media & Ent	21	4	2	10	11	7
Utilities	5	17	19	4	7	6
Property	4	5	9	NM	21	22
Energy	7	12	11	12	3	15
Materials	3	7	18	5	16	2

More Policy-Supported ↓

Exhibit 23: Our textual analysis suggests that long-short strategies focusing on top- and bottom sectors based on the 5YP proposals and Government Work Reports could have generated substantial alpha in Chinese equities



Source: MSCI, FactSet, Goldman Sachs Global Investment Research

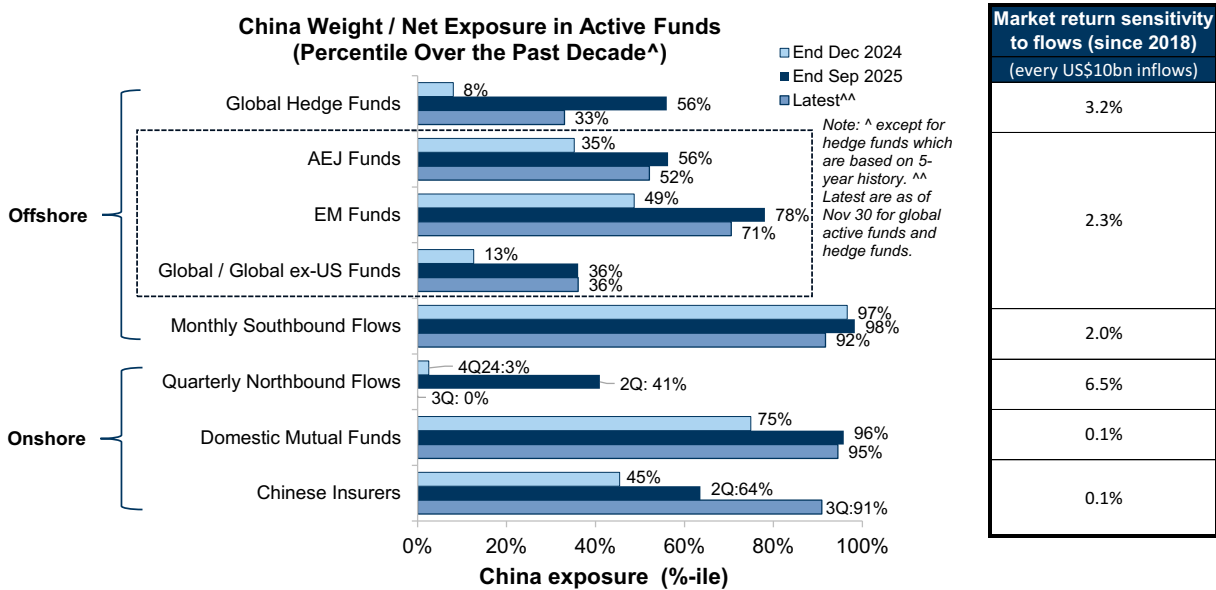
Source: MSCI, FactSet, Data compiled by Goldman Sachs Global Investment Research, Goldman Sachs Global Investment Research

8. China is investable: Domestic capital is on the move while foreign investors are warming up to China stocks

Equity-starving domestic capital is on the move. (1) **Southbound flows** have amounted to US\$180bn ytd (vs. US\$104bn in 2024), the highest ever (annualized) on record; (2) **onshore institutional investors**, notably insurers, have turned more aggressive in underwriting equity risks for stable incomes/yields; (3) **the National Team** has been active in the stock market, now owning more than 6% of listed A-share market cap (Rmb6tn); and, (4) **individual investors** have raised equity exposures, funded by excess savings and moderate leverage increases, although their risk appetite is far from previous euphoric episodes as suggested by our proprietary A-share Retail Sentiment Barometer.

China is also back on global investors’ radar and investable universe due to idiosyncratic China factors (e.g. DeepSeek moment, and easing POE regulation) and their diversification demand away from US assets. Hedge funds globally have added China risks, with their net exposures to China rising from 6.8% (8%ile in 5Y history) at the start of the year to 7.8% (33%ile) by end-November. EM/Asia mutual funds have marginally narrowed their underweights in China but global mandates remain significantly behind benchmarks. Long-duration asset managers, particularly EM and Belt & Road sovereign wealth and pension funds, have expressed strong interest in Chinese equity, partly reflected in the cycle-high participation (25%) of foreign cornerstone investors in the resurgence of Hong Kong IPO market where 101 companies have made their debuts in 2025, raising HK\$271bn in total ytd.

Exhibit 24: Investors at home and abroad have participated in this year’s market rally; but mutual funds with a global mandate remain conservatively positioned in China

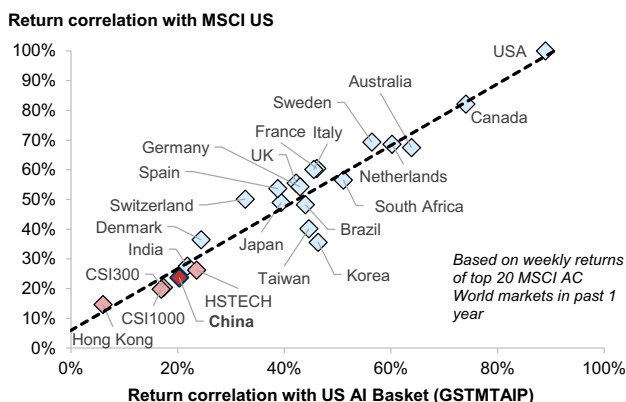


Source: Wind, FactSet, EPFR, Goldman Sachs Prime Services, Goldman Sachs Global Investment Research

The US is less exceptional than before. Concerns about elevated valuations, high market (cap) concentration, AI bubble, and a weakening Dollar trend have motivated money managers globally to look for alternatives in non-US markets. **China appears well-placed for the diversification flows**, given its market depth and breadth, and conservative investor positioning. China has also exhibited one of the lowest return correlations with US equities among key markets and Chinese equities are still priced at deep valuation discounts compared with international peers (35%/9% to DM/EM).

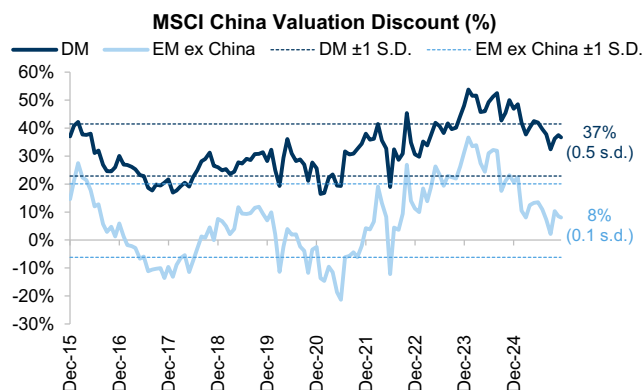
Domestic investors also need to diversify. Individual investors conceptually are far away from their optimal efficient frontier, with property/cash accounting for 54%/28% of their asset base, vs. 11% in equities. Similarly, institutional investors are underexposed to stocks, owning 14% of A-share market cap, vs. 59%/50% in major DMs/EMs. With the housing market still finding its bottom, real rates likely trending lower, and equities starting to outperform other competing asset classes domestically, we believe the **structural Chinese capital migration to equities might have begun**.

Exhibit 25: HK/China equities have shown low return sensitivity vis-a-vis US/US tech stocks



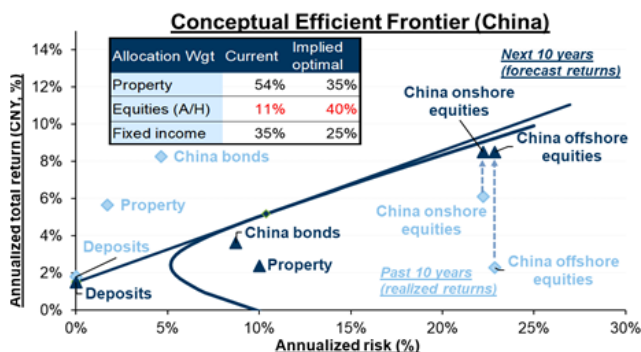
Source: MSCI, FactSet, Goldman Sachs Global Investment Research

Exhibit 26: "China discounts" remain entrenched



Source: FactSet, Data compiled by Goldman Sachs Global Investment Research

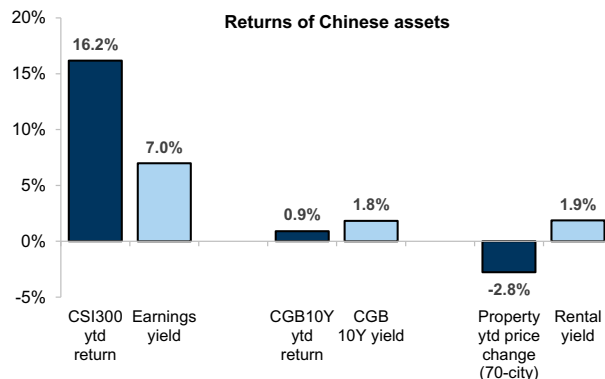
Exhibit 27: Chinese households could improve their allocation efficiency by adding equity exposures



Note: Based on realized returns/volatilities over past 10 years of following assets - China offshore equities: MSCI China total returns; China onshore equities: CSI300 total returns; China bond: ChinaBond New Composite Index total return; Property: 70-city price changes and rental yields; Deposit: 1-year deposit rate.

Source: Goldman Sachs Global Investment Research

Exhibit 28: Equities have led bonds and property this year, and arguably are trading at more compelling valuations



Source: Wind, FactSet, Goldman Sachs Global Investment Research

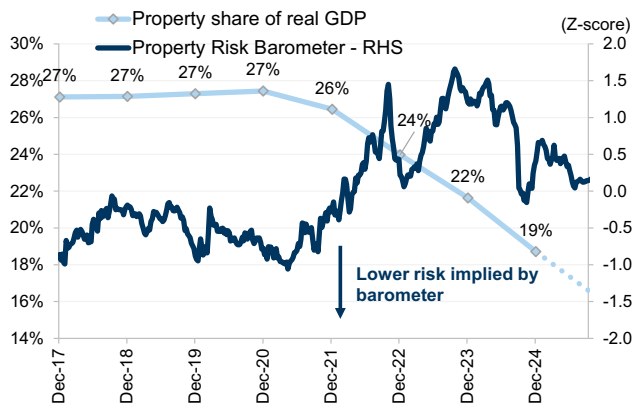
10. Many risks still linger, but policy put has flattened the left-tail

Besides the well-telegraphed local macro headwinds centering on the property, leverage, and demographic nexus, in our recent report, **we highlighted 5 risks (investor concerns) that could derail the equity uptrend**—global recession, AI exuberance, US-China tensions, and domestic policy and (dis)inflation risks.

They, together with the recent macro data softness, have indeed been the main sources of volatility and have caused pullbacks this year. But, key China risk factors are either well priced or have receded in 2025—the **housing sector** has shrunk in terms of its economic influences, **the policy/regulation cycle** has turned more pro-growth and pro-market, and the **reflation prospects** have brightened, per GS forecast.

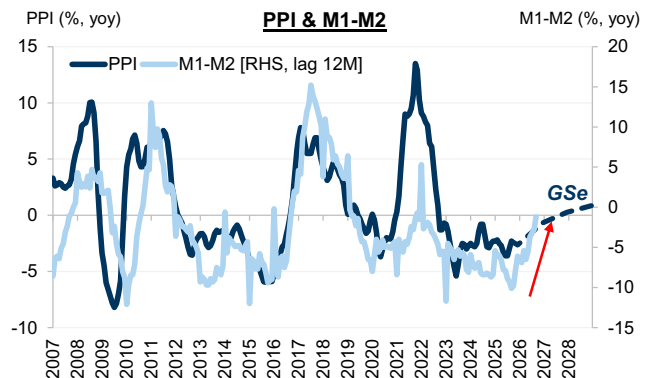
Overall, it seems clear to us that the **macro and equity-market policy put remains in effect**. It should help reduce left-tail growth and policy risks, thereby compressing equity risk premia and shifting the expected fair value of Chinese stocks rightward. **We would stay invested and accumulate on corrections** to better monetize the recovering profit cycle and the right-tail optionality.

Exhibit 29: The economic representation from the housing sector has fallen by almost 10pp since 2021



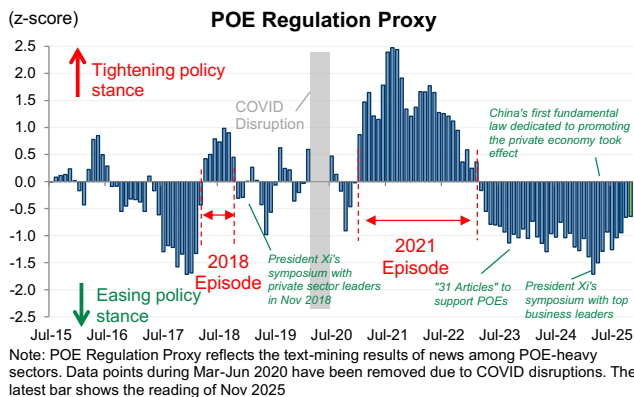
Source: Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 30: Latest M1-M2 gaps point to the potential for PPI inflation to recover in the quarters ahead



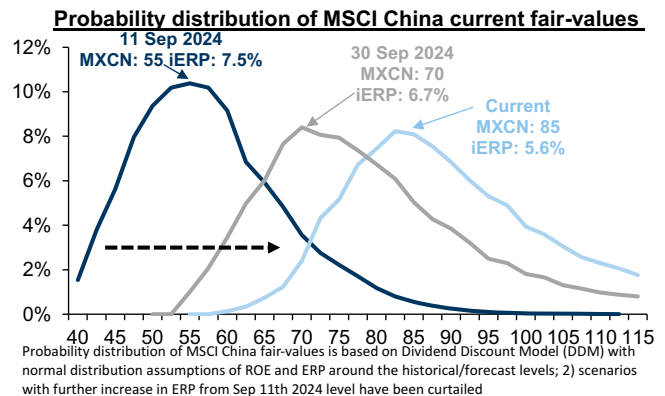
Source: Wind, Goldman Sachs Global Investment Research

Exhibit 31: Regulation stays in an easing cycle



Source: Factiva, MSCI, Goldman Sachs Global Investment Research

Exhibit 32: Policy put should have reduced left-tail risks, thereby boosting the fair value of Chinese stocks



Source: FactSet, MSCI, Goldman Sachs Global Investment Research

Disclosure Appendix

Reg AC

We, Kinger Lau, CFA, Timothy Moe, CFA, Si Fu, Ph.D. and Kevin Wang, CFA, hereby certify that all of the views expressed in this report accurately reflect our personal views, which have not been influenced by considerations of the firm's business or client relationships.